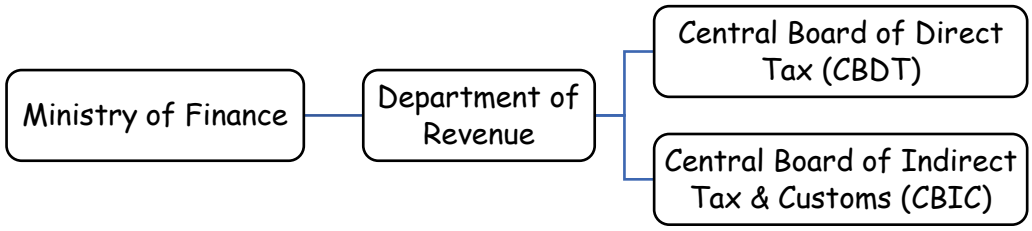
Chapter 1
Concept of Indirect Tax

Basic Reasons to Impose Taxation (desh chalane ke liye)

1. To provide basic facilities for every citizen of the country : Whatever money is received by the government from taxation is spent by it for the welfare of the citizens of the country.
   Some of the services provided by the government: health care, electricity, roads, education system, free houses for the poor, water supply, police, firefighters, judiciary system, disaster relief, taking care of bridges and other amenities of public welfare.
2. To finance multiple governments: All the local governments of the state like village panchayats, block panchayats and municipal corporations receive funds from the finance commission.
3. Protection of the life: Taxpayers receive the protection of life and wealth from the government in case of external aggression, internal armed rebellion or any other situation.

Administration of Tax

The administrative hierarchy of tax law is as follows:
Both of the Boards have been constituted under the Central Board of Revenue Act, 1963. CBDT deals with levy and collection of all direct tax whereas matters relating to levy and collection of Central indirect tax are dealt by CBIC.



Concept and Features of Indirect Taxes

1) Tax on goods and services : Indirect tax is levied at the time of supply or manufacture or purchase or sale or import or export of goods. Further, it is also levied on supply.
2) Burden : Tax, being indirect tax paid by the seller, shall be recovered by the seller from the buyer. Thus, one can say that burden of indirect tax is shifted from seller to buyer and ultimately borne by consumers of such goods or services.
3) Inflationary in nature : Cost of goods and services increases due to levy of indirect tax. Thus, indirect taxes promote inflation.

4) Social welfare : It is useful tool to promote social welfare by checking the consumption of harmful goods or sin goods through higher rate of tax.

5) Wider Tax Base : Majority of goods and services are liable to indirect tax with very low threshold limits, so tax base is much wider for indirect taxes compared to direct taxes.

6) Regressive in Nature : All persons (rich or poor) will bear equal rate of tax on goods or service consumed by them irrespective of their ability.

7) No pinch : Seller (the person on which indirect tax is levied) does not perceive a direct pinch of tax as he recovers it from the buyer and then pays the Government. On the other hand, since it is inbuilt into the price of the goods, the ultimate payer (i.e., buyer) pay it without knowing that he is paying any tax to the Government.

Difference Between Direct & Indirect Taxes

Basis	Direct tax	Indirect Tax
Meaning	Direct tax is referred to as the tax, levied on person's income and wealth and is paid directly to the government	Indirect Tax is referred to as the tax, levied on a person consumes the goods and services and is paid indirectly to the government.
Nature	Progressive in nature i.e. higher tax is levied on a person earning higher income and vice versa.	Regressive in nature i.e.. all persons will bear equal wrath of tax on goods or service consumed by them irrespective of their ability.
Incidence and Impact	Falls on the same person. Assessee, himself bears such taxes. Thus. it pinches the taxpayer.	Falls on different person. Tax is recovered from the assessee, who passes such burden to another person, Thus, it does not pinch the taxpayer.
Example	Income Tax	GST, Custom Duty
Evasion	Tax evasion is possible	Tax evasion is hardly possible because it is included in the price of the goods and services.
Inflation	Direct tax helps in reducing the inflation.	Cost of goods and services increases due to levy of indirect tax thus indirect taxes promote inflation. However, sometimes it is useful tool to promote social welfare by

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		checking the consumption of harmful goods or sin goods through higher rate of tax.
Imposition and collection	Imposed on and collected from the same person	Imposed on and collected from consumers of goods and services but paid and deposited by the assessee.
Burden	Cannot be shifted	Can be shifted
Event	Taxable income of the assessee	Supply of goods and services.

Background of Erstwhile Indirect Taxes

Cascading effect of tax (Tax on Tax)

In pre-GST regime, when a manufacturer "A" sold goods ₹ 1,00,000 to dealer "B" from Gujarat to Haryana, he is liable to collect & pay Excise Duty and Central Sales Tax at the rate of 12% and 2% respectively, being an inter- state sale.

Dealer "B" in turn sells it to Dealer "C" in Haryana after adding ₹ 10,000/- and charges VAT on such sale @ 12%.

The calculation were as follow:

Transaction	Particulars	Amount (`)	Tax to Government (`)
Transaction between "A" and "B"	Sale price of goods	1,00,000	
	Add: Excise Duty @ 12%	12,000	12,000
		1,12,000	
	Add: Central Sales Tax	2,240	2,240
	Total Invoice Value	1,14,240	
Transaction between "B" and "C"	Sale price of goods [` 1,14,240 + ` 10,000]	1,24,240	
	Add: VAT @ 12%	14,909	14,909
	Total Invoice Value	1,39,149	
	Total		29,149

In this regime, following are the components of the VAT amount :

- On actual price ₹ 1,00,000 x 12% = ₹ 12,000
- On Excise Duty ₹ 12,000 x 12% = ₹ 1,440
- On CST ₹ 2,240 x 12% = ₹ 269
- On value added by B ₹ 10,000 x 12% = ₹ 1,200

Total VAT = ₹ 14,909

Since credit for excise duty and CST was not available to dealer B, excise duty and CST were considered as a cost. Further, he is liable to pay VAT on tax components also. Such tax on tax is known as cascading effect of tax, which leads to inflation.

If the same transactions are executed under GST law and rate of GST is say 12% then calculation would be as under :

Transaction	Particulars	Amount (`)	Tax to Government (`)
Transaction between "A" and "B"	Sale price of goods	1,00,000	
	Add: GST @ 12%	12,000	12,000
	Total Invoice Value	1,12,000	

GST - Introduction

GST is a path-breaking indirect tax reform which attempts to create a common national market. GST has subsumed multiple indirect taxes like excise duty, service tax, VAT, CST, luxury tax, entertainment tax, entry tax, etc.

The GST Council which will be a joint forum of the Centre and the States, shall consist of the following members:

a.	Union Finance Minister	Chairperson
b.	The Union Minister of State, in-charge of Revenue of finance	Member
c.	The Minister In-charge of finance or taxation or any other Minister nominated by each State Government	Members

GST Council shall make recommendations to the Union and the States on -

a) the taxes, cesses and surcharges levied by the Union, the States and the local bodies which may be subsumed in the goods and services tax;

b) the goods and services that may be subjected to, or exempted from the goods and services tax;

c) model Goods and Services Tax Laws, principles of levy, apportionment of Goods and Services Tax levied on supplies in the course of inter-state trade or commerce under Article 269A and the principles that govern the place of supply;

d) the threshold limit of turnover below which goods and services may be exempted from GST;

e) the rates including floor rates with bands of goods and services tax;

f) any special rate or rates for a specified period, to raise additional resources during any natural calamity;

g) special provision for the Special Category States

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h) any other matter relating to the goods and services tax, as the Council may decide.

GST Network (GSTN)

Government has established common GST Electronic Portal (www.gst.gov.in), a website managed by Goods and Services Network (GSTN) for the tax payer and common IT infrastructure for Central and States.

The GSTN is developing a common GST portal and applications for registration, payment, return, assessment and MIS/reports.

On registration on the common portal (www.gst.gov.in), each taxpayer will receive 15 alpha numeric PAN based unique Goods and Service Tax Identification Number (GSTIN).

GST removed the inefficiencies and complexities of the erstwhile archaic taxation system and helped accelerate growth.

1) Taxes subsumed in GST

However, it is to be noted that following taxes are not subsumed into the GST

Central Taxes	State Taxes
Basic Customs Duty	State Excise Duty
Research and Development Cess	Stamp Duty
Export Duty	Profession Tax
Anti-Dumping Duty	Profession Tax
Safe guard Duty	Motor Vehicle Tax

2) Seamless Flow of Credit: GST eliminates the multiplicity and cascading of taxes which results into overall reduction in tax incidence.

3) Competitive prices : GST eliminates all other taxes of indirect nature, and this will effectively mean that the tax amount paid by end consumers will reduce. Lower the prices, more will be demand for that product.

4) Increase in revenue : GST is easy to understand, and a simple tax structure will bring more taxpayers and in return, it will increase the revenue for the Government.

5) Easy and straightforward tax structure : Before GST, taxpayers needed to pay a lot of taxes, but with GST, a single tax system, only one tax needs to be paid, which is comparatively easy and convenient to understand.

6) One Nation One Tax : With uniform tax on supplies of goods and services India turned into one market.

Benefits of GST

The benefits of GST can be summarized as under:

A. For business and industry

1) Easy compliance: All tax-payer services such as registrations, returns, payments, etc. will be available to the taxpayers online, making compliance easier and more transparent.

2) Uniformity of tax rates and structures: GST will ensure that indirect tax rates and structures are common across the country, thereby increasing certainty and ease of doing business.

3) Removal of cascading: A system of seamless tax credits throughout the value chain, and across state boundaries, will ensure minimal cascading of taxes. This will reduce hidden costs of doing business.

4) Improved competitiveness: Reduction in transaction costs of doing business would eventually lead to improved competitiveness for the trade and industry.

5) Gain to manufacturers and exporters: The subsuming of major Central and State taxes in GST, complete and comprehensive set-off of input goods and services and phasing out of Central Sales Tax (CST) would reduce the cost of locally manufactured goods and services. This will increase the competitiveness of Indian goods and services in the international market and give a boost to Indian exports. The uniformity in tax rates and procedures across the country will also go a long way in reducing compliance costs.

B. For Central and State Governments

1) Simple and easy to administer: Multiple indirect taxes at the Central and State levels are being replaced by GST. Backed with a robust end-to-end IT system, GST would be simpler and easier to administer than all other indirect taxes of the Centre and State levied so far.

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2) Better controls on leakage: GST will result in better tax compliance due to a robust IT infrastructure. Due to the seamless transfer of input tax credit from one stage to another in the chain of value addition, there is an inbuilt mechanism in the design of GST that would incentivize tax compliance by traders.

3) Higher revenue efficiency: GST is expected to decrease the cost of collection of tax revenues of the Government, and will therefore, lead to higher revenue efficiency.

4) Boost to 'Make in India' initiative : GST will give major boost to the 'Make in India' initiative of government of India by making goods and services produced in India competitive in the national as well as international market.

C. For the consumer

1) Single and transparent tax proportionate to the value of goods and services: Under GST, there would be only one tax from the manufacturer to the consumer, leading to transparency of taxes paid to the final consumer.

2) Relief in overall tax burden: Because of efficiency gains and prevention of leakages, the overall tax burden on most commodities will come down, which will benefit consumers.

Salient Features of GST

1) Destination Based Tax: The benefit of tax (SGST/ UTGST) will accrue to the consuming state which will benefit the poor states.

2) One Nation One Tax: GST is levied on supply of goods and services across India, including Jammu and Kashmir.

3) Dual GST Model: Both centre and states will impose tax on goods and services simultaneously.
   a. Intra-state supply of goods and services (WITHIN THE STATE)
      - CGST: Payable to Central Government
      - SGST/ UTGST: Payable to State Government/ Union Territory (as applicable) where they are consumed
   b. Inter-States Supply of goods and services (OUTSIDE THE STATE)
      - IGST: Payable to Central Government

4) Import and Export: Import will be treated as inter-state supply and IGST will be chargeable along with Basic Customs duty. However, in GST Export will be treated as Zero rated supplies with no IGST payable.

5) Rates of GST: The rates of GST are 0.5%, 3%, 5%, 12%, 18% and 28%. In addition to this, compensation cess is applicable on pan masala, tobacco & tobacco products, coal, lignite, aerated water and motor vehicles.

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6) Tax on value of supply: GST is calculated on value of supply of goods and services, which is transaction value. (subject to certain exceptions)

7) Registration: Under GST, every supplier who has made taxable supply (subject to certain threshold limits) is required to be registered under GST Law.

8) Input Tax Credit: A registered person is entitled to take credit (deduction) of input tax credit paid from the output tax (if any) subject to following restrictions:
   a. Utilisation of IGST: First utilize for the payment of IGST then the balance, shall be utilized towards payment of CGST and SGST/UTGST
   b. Utilisation of CGST: First utilize for the payment of CGST then the balance, if any, shall be utilized towards payment of IGST.
   c. Utilisation of SGST/UTGST: First utilize for the payment of SGST / UTGST then the balance shall be utilized towards payment of IGST.

Goods and Services Tax Compensation Cess

1) Goods and Services Tax (Compensation to States) Act, 2017 was enacted to levy Compensation cess for providing compensation to the States for the loss of revenue arising on account of implementation of the goods and services tax with effect from the date from which the provisions of the Central Goods and Services Tax Act is brought into force (01/07/2017), for a period of five years or for such period as may be prescribed on the recommendations of the GST Council.

2) Taxable persons selling notified goods are liable to collect and pay GST Cess. Notified goods are:
   a. Pan masala,
   b. Tobacco & tobacco product,
   c. Cigarettes, cigar
   d. Coal, lignite,
   e. Aerated water; and f. Motor-cars

3) Cess shall be computed on the value of taxable supply. Cess is levied in addition to CGST + SGST/UTGST in case of intra-state sales and IGST in case of inter-state sales including import of goods.

4) Taxpayer can use Input Tax Credit of Cess for payment of Cess liability on outward supply made by him. He cannot use Input Tax Credit of Cess for payment of output CGST, SGST or IGST

5) Where a taxpayer is registered under composition levy, Cess is not applicable on outward supplies made by him

6) Cess is not levied on export made from India. The exporter can claim a refund of the input tax credit of cess paid on purchase.

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Constitutional Provisions:

CONSTITUTION OF INDIA

- PREAMBLE
- 25 PARTS (Containing 448 Articles)
- 12 Schedules

Article 246 :- Respective authority to Union and state Government for levying tax **Seventh Schedule to Article 246:-**

- Union List List I
  - Income Tax
  - Custom Duty
  - Excise Duty
  - CST
  - Any Other Not in II/III
- State List List II
  - Taxes on agricultural income
  - Excise on alcohol opium and narcotics
  - VAT
  - Luxury entertainment, betting, gambling
- Concurrent List List III
  - Criminal Law
  - Stamp Duties

Need for Constitutional Amendment?

To enable integration of various taxes in GST and to empower both Centre and State to levy and collect it.

Article 246A: Simultaneous power with Parliament and State legislature to make laws with respect to GST.

Exception: Parliament has exclusive powers with respect to interstate supplies.

Article 279A: GST Council

President Constitutes the Council (33 members) Chairperson : Union Finance Minister

- 2 Members (Union)
  1. Chairperson
  2. Union minister of State incharge of Revenue or finance
- 31 Members (Minister incharge of finance or taxation or any other minister nominated by each state) Choose vice – President

- For Quorum: Half (i.e. 17) members
- Decision: Majority not less than 3/4th of members present and voting

  Weights → 1/3rd centre
  → 2/3rd state

  Therefore, no decision unless CG Assents

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Chapter 2

Supply, Composite and Mixed Supply

Definition

1. Goods - Means every kind of movable property other than money and securities but includes actionable claim, growing crops, grass and things attached to or forming part of the land which are agreed to be severed before supply or under a contract of supply.
2. Services - Means anything other than goods, money and securities but includes activities relating to the use of money or its conversion by cash or by any other mode, from one form, currency or denomination, to another form, currency or denomination for which a separate consideration is charged.
3. Actionable claim - means a claim to any debt, other than a debt secured by mortgage of immovable property or by hypothecation or pledge of movable property, or to any beneficial interest in movable property not in the possession, either actual or constructive, of the claimant, which the civil courts recognise as affording grounds for relief, whether such debt or beneficial interest be existent, accruing, conditional or contingent [Section 2(1) of CGST Act read with section 3 of the Transfer of Property Act, 1882].
4. Family - Means, the spouse and children of the person, and the parents, grandparents, brothers and sisters of the person if they are wholly or mainly dependent on the said person [Section 2(49)].
5. Taxable supply - means a supply of goods or services or both which is leviable to tax under this Act
6. Supplier - in relation to any goods or services or both, shall mean the person supplying the said goods or services or both and shall include an agent acting as such on behalf of such supplier in relation to the goods or services or both supplied
7. Securities – include —
   (i) shares, scrips, stocks, bonds, debentures, debenture stock or other marketable securities of a like nature in or of any incorporated company or other body corporate;
   (ii) derivative;
8. Consideration - In relation to the supply of goods or services or both includes:-
   (i) any payment made or to be made, whether in money or otherwise, in respect of, in response to, or for the inducement of, the supply of goods or services or both, whether by the recipient or by any other person but shall not include any subsidy given by the Central Government or a State Government,
   (ii) The monetary value of any act or forbearance, in respect of, in response to, or for the inducement of, supply of goods or services or both, whether by the recipient or

by any other person but shall not include any subsidy given by the Central Government or a State Government.

However, a deposit given in respect of the supply of goods or services or both shall not be considered as payment made for such supply unless the supplier applies such deposit as consideration for the said supply [Section 2(31)]

9. Receipient of supply of goods and/or services means-
   (i) where a consideration is payable for the supply of goods or services or both, the person who is liables to pay that consideration,
   (ii) where no consideration is payable for the supply of goods, the person to whom the goods are delivered or made available, or to whom possession or use of the goods is given or made available,
   (iii) where no consideration is payable for the supply of a service, the person to whom the service is rendered, and any reference to a person to whom a supply is made shall be construed as a reference to the recipient of the supply and shall include an agent acting as such on behalf of the recipient in relation to the goods or services or both supplied.

10. Business –
   (i) any trade, commerce, manufacture, profession, vocation, adventure, wager or any other similar activity, whether or not it is for a pecuniary benefit
   (ii) any activity or transaction in connection with or incidental or ancillary to (a)
   (iii) (a) any activity or transaction in the nature of (a) above, whether or not there is volume, frequency, continuity or regularity of such transaction; above
   (iv) supply or acquisition of goods including capital assets and services in connection with commencement or closure of business;
   (v) provision by a club, association, society, or any such body (for a subscription or any other consideration) of the facilities or benefits to its members, as the case may be;
   (vi) admission, for a consideration, of persons to any premises; and
   (vii) services supplied by a person as the holder of an office which has been accepted by him in the course or furtherance of his trade, profession or vocation;
   (viii) activities of a race club including by way of totalisator or a license to book maker or activities of a licensed book maker in such club
   (ix) any activity or transaction undertaken by the Central Government, a State Government or any local authority in which they are engaged as public authorities.

11. Person 2(84)
   (i) An Individual
   (ii) A HUF
   (iii) COMPANY

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(iv) FIRM
(v) LLP
(vi) An association of persons or a body of individuals, whether incorporated or not, in India or outside India
(vii) Any Corporation established by/under any Central, State or Provincial Act or Government company as defined in section 2(45) of Companies Act, 2013
(viii) A body corporate Incorporated by or under the laws of a country outside India.
(ix) A co-operative society registered under any law under the laws relating to cooperative Societies
(x) A local authority
(xi) Central Government / State Government
(xii) Society as defined under the Societies Registration Act, 1860
(xiii) Trust
(xiv) Every Artificial Juridical Person not falling above

Intra-State Supply VS Inter-State Supply

Intra-State supply	Inter-State supply
Supply of goods or service within the state or union territory.	- Supply of goods or service from one state or union territory to other state or union territory. - Import of goods till they cross customs frontier. - Import of service. - Export of goods or service. - Supply of goods/services to/by SEZ. - Any other supply in the taxable territory which is not intra state supply.

SECTION 7- Supply

Includes	Inter-State supply
7(1) Supply Includes a. all forms of supply of goods or services or both such as sale, transfer, barter, exchange, licence, rental , lease or disposal made or agreed to be made for a consideration by a person in the course or furtherance of business	7(2) Not with standing anything contained in sub-section (1), a. activities or transactions specified in Schedule III; b. such activities or transactions undertaken by the Central Government, a State Government or local authority in which they are engaged as public

b. importation of services, for a consideration whether or not in the course or furtherance of business, and c. the activities specified in Schedule I, made or agreed to be made without a consideration	authorities, as may be notified by the Government on the recommendations of the Council shall be treated neither as a supply of goods nor a supply of services.

7{1}(A) Where certain activities or transactions, constitute a supply in accordance with the provisions of sub-section (1), they shall be treated either as supply of goods or supply of services as referred to in Schedule II.

7(3) Subject to sub-sections (1), (1A) & (2), the Government may, on the recommendations of the Council, specify, by notification, the transactions that are to be treated as —

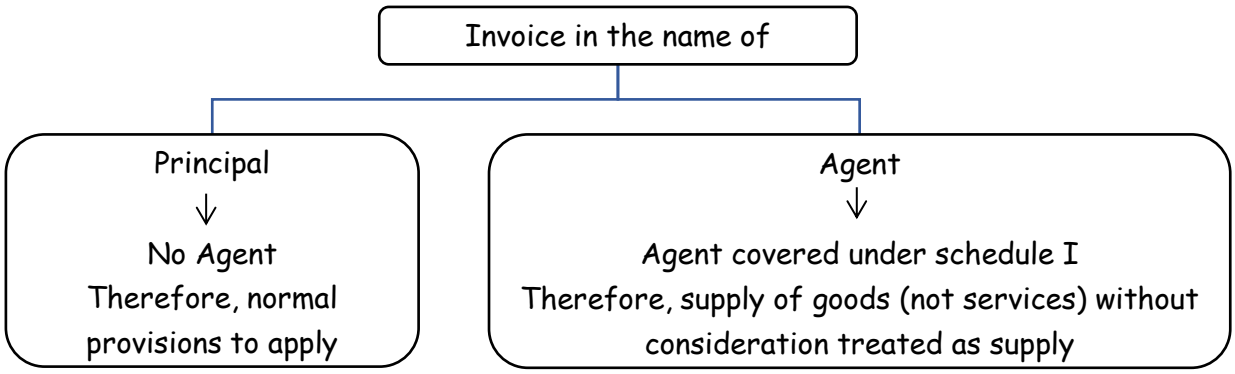
a. a supply of goods and not as a supply of services; or

b. a supply of services and not as a supply of goods.

Schedule – I Activities to be treated as supply even if made without consideration

Para No	Particulars
1.	Permanent transfer or disposal of business assets where input tax credit has been availed on such assets.
2.	Supply of goods or services or both between related persons or between distinct persons as specified in section 25, when made in the course or furtherance of business. Provided that gifts not exceeding fifty thousand rupees in value in a financial year by an employer to an employee shall not be treated as supply of goods or services or both.
3.	Supply of goods —

Clarification of Schedule 1, para 3



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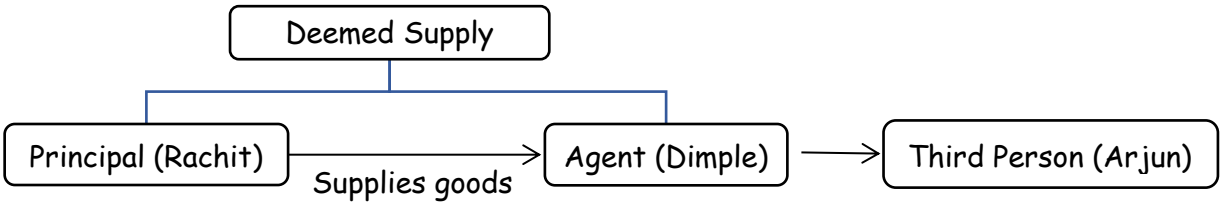
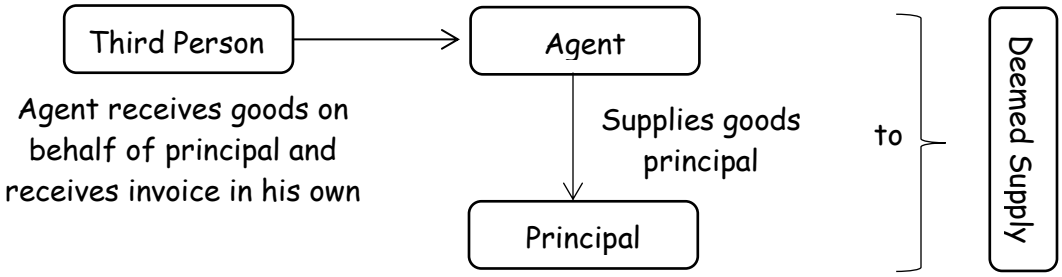


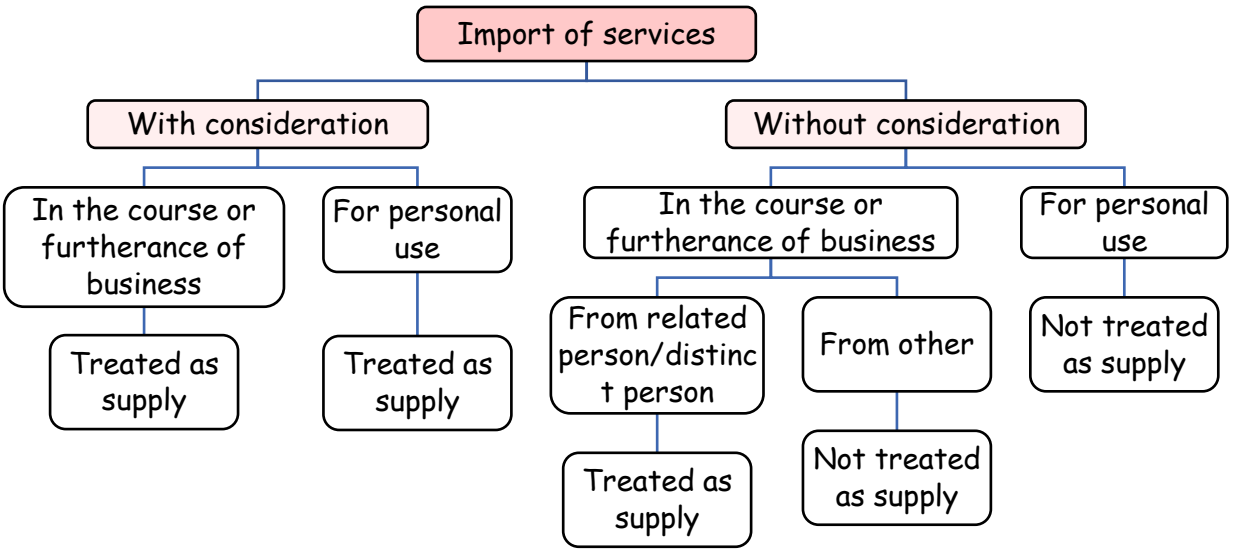
Supplies goods on behalf of principal and issues invoice to customer in his own name

Eg: Miss Dimple sold goods to Mr Arjun on behalf of Mr. Rachit by issuing an invoice in her name. Supply between Dimple and Rachit is covered under Schedule 1.



Eg: 1. Mr. Kirit appoints Abhishek to procure certain goods from Market. Abhishek identifies various suppliers and asks them to directly supply goods and issue invoice to Mr. Kirir.
In this case, Abhishek is not an Agent as per schedule 1.
Eg: 2. Malamaal bank appoints Akshay (an auctioneer) to auction certain goods and identify potential bidders. Goods are sold to highest bidder by issuing the invoice directly by the Bank. Akshay is merely providing auctioneering service.

Memory - Reliance ki car jispe ITC le chuke hai Anant ko Transfer krdi or anant ne uske agent ko bolkar Driving service import kari business kai lie.



Schedule III - Non supplies under GST

No.	Description
1.	Services by an employee to the employer in the course of or in relation to his employment.
2.	Services by any court or tribunal established under any law for the time being in force.
3.	i. Functions performed by Members of Parliament, Members of State Legislature, Members of Panchayats, Members of Municipalities & Members of other local authorities; ii. Duties performed by any person who holds any post in pursuance of the provisions of the Constitution in that capacity: or iii. Duties performed by any person as a Chairperson or a Member or a Director in a body established by the Central Government or a State Government or local authority and who is not deemed as an employee before the commencement of this clause.
4.	Services of funeral, burial. crematorium or mortuary including transportation of the deceased.
5.	Sale of land and, subject to paragraph 5(b) of Schedule II, sale of building.
6.	Actionable claims, other than lottery. betting and gambling.
7.	Supply of goods from a place in the non-taxable territory to another place in the non-taxable territory without such goods entering into India.

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8.	i. Supply of warehoused goods to any person before clearance for home consumption. ii. Supply of goods by the consignee to any other person, by endorsement of documents of title to the goods. after the goods have been dispatched from the port of origin located outside India but before clearance for home consumption.

Memory - Employee ne Employer ka murder karke land ke neeche dafna diya jo yeh sab MOP ne dekh liya but court ne Employee ko Riha kr diya jis se uski lottery lag gyi.

7(2)(b) Continued .....

The following activities or transactions are notified:

a. Services by way of any activity in relation to a function entrusted to a Panchayat or to a municipality

b. Service by way of grant of alcoholic liquor licence, against consideration in the form of licence fee or application fee or by whatever name it is called.

Activities or transactions not considered as supply, clarified through circulars

a. Inter-State movement of various modes of conveyance between distinct persons including trains, buses, trucks, tankers, trailers, vessels, containers, aircraft, carrying goods of passengers or both, except in cases where such movement is for further supply of the same conveyance.

b. Inter-State movement of rigs, tools and spares, and all goods on wheels (like cranes) However, applicable tax shall be levied on repairs and maintenance done for such goods.

Activities or transactions to be treated as supply of goods or supply of services
[Section 7(1A) read with Schedule II]

No.	Description	Type of Supply
1.	Transfer	
	(i) Title in goods	Goods
	(ii) Title in goods under an agreement that property shall pass at a future date.	
	Right/undivided share in goods without the transfer of title in them	Services
2.	Land and Building	Services
	Lease. tenancy, easement. license to occupy land	

	Lease/letting out of building including a commercial /industrial /residential complex for business/commerce, wholly/partly.	
3.	Treatment or Process Applied to another person's goods	Services
	Transfer of Business Assets:	
	Goods forming part of business assets are transferred /disposed of by/ under directions of the person carrying on business so as no longer to form part of those assets	Goods
	Goods held/used for business are put to private use or are made available to any person for use for any purpose other than business, by/under directions of the person carrying on the business.	Services
4.	Goods forming part of assets of any business carried on by a person who ceases to be a taxable person shall be deemed to be supplied by him. in the course or furtherance of his business. Immediately before he ceases to be a taxable person. Exceptions: - Business transferred as a going concern. (Neither considered as goods nor as service) - Business carried on by a personal representative who is deemed to be a taxable person. (Neither considered as goods nor as service)	Goods
5.	Renting of immovable property	Services
	Construction of a complex, building, civil structure. etc.	
	Temporary transfer or permitting use or enjoyment of any intellectual property right	
	Development. design. programming, customization. adaptation. upgradation, enhancement, implementation of IT software	
	Agreeing to the obligation to refrain from an act, or to tolerate an act or situation. or to do an act.	
	Transfer of the right to use any goods for any purpose	
6.	Composite supplies:	Services
	- Works contract	
	- Supply of goods, being food or any other article for human consumption or any drink.	

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7.	Supply of goods by an unincorporated association or body of persons to a member thereof for cash, deferred payment or other valuable consideration.	Goods

SECTION 8 – Composite and Mixed Supply

The tax liability on a composite or a mixed supply shall be determined in the following manner, namely:-

Composite supply	Mixed supply
A composite supply comprising two or more supplies. one of which is a principal supply, shall be treated as a supply of such principal supply. (Naturally bundeled) Principle Supply – Predominant supply and other are ancillory supply Tax rate will be the rate of principle supply.	A mix supply comprising of two or more supplies shall be treated as supply of that particular supply that attracts highest rate of tax. - Not a composite supply
Eg. 1. Mobile and Charger 2. Machine and compulsory installation services 3. Car along with accessories.	1. Car along with washing machine. 2. Clothes along with perfume

Clarification :

1. **Printing Services:**

Supplier — Content given by recipient papers and printing services — Recipient

Case 1
Boots. Pamphlets, reports. Brochures, etc. Where the content is principal.
↓
Supply of service

Case 2
Envelopes, logos, tissues, etc. Where logo/design is auxiliary to supply of physical inputs
↓
Supply of service

2. **Supply of food/beverages in cinema hall**

If food/beverages are supplied by way of/ as a part of service and supplied independent of cinema exhibition service

↓

It is taxable as "RESTAURANT SERVICE" independently.

Where the scale of cinema ticket and supply of food/beverages are clubbed together, then such bundled supply is composite supply chargeable @ of exhibition of cinema service

"Restaurant Service" means supply, by way of or as part of any service, of goods, being food or any other articles for human consumption or any drink, provided by a restaurant, eating joint including mess, canteen, whether for consumption on or away from the premises where such food or any other article for human consumption or drink is supplied."

3. **Applicability of GST on supply of electricity by real estate companies, malls, airport, operators from lessees/occupants**

Whenever electricity is bundled with renting of immovable property and/or maintenance of premises

↓

It is composite supply, even if electricity is billed separately, GST Rate as on renting of immovable property/ Maintenance shall be applicable

Where electricity is supplied by Real estate owners/developers. Resident welfare associations as pure agents- charging on actual basis as the same amount charged by electricity board/ DISCOM

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It will not form art of value of supply.

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